

AI Use Case Document

LendSmart — AI Credit Risk Assessment for Retail Banking

Executive Summary

LendSmart is an AI credit scoring system deployed by retail banks to automate loan approval decisions for personal and SME credit applications. The system produces a credit risk score and a binary approve/reject recommendation.

System Description

LendSmart uses gradient boosting models trained on 5 years of historical loan data to predict probability of default. Input features include income, employment history, existing debt, payment history, and behavioral banking data. The model outputs a risk score (0-1000) and a recommendation.

Affected Persons

Individual retail customers and small business owners applying for credit. Applicants with scores below 450 are automatically rejected without human review. Applicants between 450-600 are flagged for manual underwriter review.

Sector

Financial services — retail banking and consumer credit. Deployed by three major EU banks with combined customer base of 18 million.

Human Oversight

Human underwriters review borderline cases (score 450-600). Automatic rejections (below 450) have no human review step. Applicants may request manual review within 30 days of rejection.

Impact on People

Denied credit applications directly affect individuals' ability to purchase homes, fund education, or grow businesses. The system processes approximately 800,000 credit decisions per year across the EU.